

Economics Test -7

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Q1. Match the concepts in column A with their respective descriptions in column B.

A. a-5, b-1, c-2, d-3

B. a-2, b-3, c-4, d-1

C. a-2, b-1, c-4, d-3

D. a-5, b-3, c-2, d-1

Solution: a-5, b-1, c-2, d-3. Devaluation refers to the intentional downward adjustment of a country's currency value relative to another currency or standard. Depreciation, on the other hand, allows a business to allocate the cost of a tangible asset over its useful life for accounting and tax purposes. Deflation occurs when prices decrease over time, contrasting with inflation, which signifies rising prices. Exchange controls are governmental restrictions placed on the buying and selling of currencies.

Q2. The bank rate in the Indian economy is determined by the

A. State bank of India

B. Reserve Bank of India

C. Finance ministry of India

D. Securities and Exchange Board of India

Solution: Reserve Bank Of India. Bank Rate - It is a rate of interest at which RBI lends money to the commercial banks without any security or collateral. Reserve Bank Of India - It is India's Central Bank. established (April 1, 1935) on the recommendations of Hilton young Committee. It is also Known as Banker's Bank and lenders of last resort. Functions - Issuance of currency, sustaining monetary stability in India, operating the currency and maintaining the country's credit system. Headquarter - Mumbai.

Q3. Which of the following unemployment is the result of depression in an economy?

A. Cyclical unemployment

B. Frictional unemployment

C. Seasonal unemployment

D. Structural unemployment

Solution: Cyclical unemployment - It occurs with changes in economic activity over the business cycle. Example - A health care worker who loses his job because of layoffs during a recession. Seasonal Unemployment - The unemployment that occurs during certain seasons of the year. Frictional unemployment - The time gap between the jobs when an individual is searching for a new job or is switching between the jobs. Structural Unemployment - The involuntary unemployment arising from the mismatch between the jobs available in the market and the skills of the available workers in the market.

Q4. Which organization formerly known as the Imperial Council of Agricultural Research and founded on July 16, 1929, is in charge of Agricultural Research and Education in India?

A. Food Corporation of India (FCI)

B. Agricultural and Processed Food Products Export

Development Authority (APEDA)

C. National Bank for Agricultural and Rural Development (NABARD)

D. Indian Council of Agricultural Research (ICAR)

Solution: Indian Council of Agricultural Research (ICAR): Autonomous organization under the Department of Agricultural Research and Education (DARE), Ministry of Agriculture and Farmers Welfare, Government of India. Headquarter : New Delhi. Agriculture Organization in India: Central Food Technological Research Institute (CFTRI) - Mysore (Karnataka), Central Institute for Cotton Research (CICR) - Nagpur (Maharashtra), Central Rice Research Institute (CRRRI) - Cuttack (Odisha), etc.

Q5. Duties levied on goods produced within the country are

A. anti-dumping taxes

B. excise taxes

C. custom duties

D. wealth taxes

Solution: excise taxes. Custom duties - It is a tax collected on imports and exports by the customs authorities of a country. It is usually based on the value of goods that are imported. Wealth taxes - It is imposed on the value of the Asset such as property tax, inheritance or gift tax and capital gains tax. Anti - dumping duty is a tariff imposed on imports manufactured in foreign countries that are priced below the fair market value of similar goods in the domestic market.

Q6. Personal income of households can be calculated in which of the following ways?

A. National income + Undistributed profits - Net interest payments - Corporate tax + Transfer payments from the government and firms

B. National income - Undistributed profits - Net interest payments - Corporate tax + Transfer payments from the government and firms

C. National income - Undistributed profits + Net interest payments - Corporate tax - Transfer payments from the government and firms

D. National income - Undistributed profits - Net interest payments - Corporate tax - Transfer payments from the government and firms

Solution: National income - Undistributed profits - Net interest payments - Corporate tax + Transfer payments from the government and firms. National income: total Monetary value of all services and goods produced by a nation during a period of time. Undistributed profits: Profit earned by an organization but not distributed to its shareholders by way of dividends. Net interest payments : the difference between interest revenues and interest expenses. Corporate tax: Tax on the profits of a corporation.

Q7. Which of these is NOT among the reforms related to agriculture undertaken under the five year plans ?

A. Introduction of the policy of land to the tiller'

- B. Introduction of the Land Ceiling Act
- C. Launch of the high yielding variety seed technology

D. Formation of Rent Authority Department

Solution: Formation of Rent Authority Department. The first five-year plan (1951-56) the highest priority was accorded to increase agricultural production. Nearly one third or 31 per cent of total plan funds were allocated to the agriculture sector. Land Ceiling - It means fixing the maximum size of landholding that an individual/family can own. Certain exemptions to the ceiling limits were allowed for plantations of crops like tea and coffee.

Q8. Which of the following statements is correct regarding the marginal utility of a commodity? I. It is the change in total utility due to consumption of one additional unit of a commodity. II. It diminishes with increase in consumption of the commodity.

- A. Both I and II
- B. Only II
- C. only I
- D. Neither I nor II

Solution: Both I and II. There are four types of economic utility, which include form, time, place, and possession. Marginal utility: It is a measure that defines the additional satisfaction a customer receives from one more unit of a product or service. Ordinal utility: It explains that the satisfaction level after consuming any goods or services cannot be scaled in numbers. However, these things can be arranged in the order of preference. Cardinal utility: It explains that the satisfaction level after consuming any goods or services can be scaled in terms of countable numbers.

Q9. Consider the given consumption function of country X and answer the following question. $C = 100 + 0.8Y$ What is the value of autonomous consumption (A) and marginal propensity to consume (MPC) in the given equation?

- A. A = 0.8, MPC = 100
- B. A = 100, MPC = 80
- C. A = 80, MPC = 0.10
- D. A = 100, MPC = 0.8

Solution: A = 100, MPC = 0.8. Marginal propensity to consume (MPC) refers to the proportion of extra income that a person spends instead of saving. The average propensity to consume is the percentage of income spent, while the average propensity to save is the percentage of income saved.

Q10. What were the primary goals of the five-year plans in India?

- A. Industrialisation, Urbanisation, development and self-reliance
- B. Poverty reduction, Urbanisation, Self-sufficiency and Modernisation
- C. Social welfare, Self-sufficiency, equity and industrial development

D. Growth, modernisation, self-reliance and equity

Solution: Growth, modernisation, self-reliance and equity. 5-year plans and their models: 1st (1951-56) - Harrod Domar Model, 2nd (1956-61) - Mahalanobis Model, 3rd (1961-66) - Sukhamoy Chakraborty and Professor John Sandy, 4th (1969-74) - Ashok Rudra Menon, 5th (1974-78) - DP Dhar, Rolling Plan

(1978-80) - Gunnar Myrdal, 7th (1985-90) - Ramkrishna Hegde, 11th (2007-12) - C. Rangarajan.

Q11. Which of the following types of unemployment is found in India when people are employed for a certain period of a year in tourist resorts and various tourism-related activities in the mountain regions, but are unemployed in off-seasons?

- A. Seasonal unemployment
- B. Under employment
- C. Disguised unemployment
- D. Cyclical unemployment

Solution: Seasonal unemployment. Cyclical unemployment - When there is not enough aggregate demand in the economy to provide jobs for everyone. Disguised unemployment - A kind of unemployment in which there are people who are visibly employed but are actually unemployed. Underemployment - A condition in which workers are employed in less than full-time or regular jobs or insufficient jobs for their training or economic needs.

Q12. Which of the following definitions best describes the concept of microfinance?

- A. A microfinance institution is a company registered under the Companies Act, 1956, and engaged in the business of loans and advances and acquisition of shares/stocks/bonds/debentures/securities issued by the government.
- B. Microfinance is a banking service provided to unemployed or low-income individuals or groups, who otherwise would have no other access to financial services.
- C. A microfinance institution is a digital-only and mobile-first bank
- D. Microfinance refers to providing banking services to individuals living in rural areas.

Solution: Microfinance loans are small, unsecured loans given to low-income borrowers for starting or expanding small businesses or for basic needs like education and healthcare. The Reserve Bank of India regulates microfinance in India. Types of Microfinance Institutions (MFIs) include credit unions, NGOs, and commercial banks. Notable MFIs include Bandhan Bank, Ujjivan Small Finance Bank, Annapurna Finance, and Muthoot Microfin.

Q13. Match the items in List I with those in List II.

- A. i-b, ii-d, iii-a, iv-c
- B. i-a, ii-c, iii-d, iv-b
- C. i-d, ii-a, iii-b, iv-c
- D. i-c, ii-b, iii-d, iv-a

Solution: 1 5. (c) Gross Domestic Product (GDP): Total monetary value of all the finished goods and services produced within a country's border in a specific time period. Gross National Product (GNP): Total value of the income generated by the country within a financial year. It includes the income of all the country's citizens and non-residents. Net National Product (NNP): It is calculated by subtracting depreciation from the Gross National Product. Net Domestic Product (NDP): The value gets when depreciation is subtracted from the Gross Domestic Product.

Q14. LPG subsidy to domestic consumers under PAHAL Scheme is given by _____.

A. Ministry of Petroleum and Natural Gas

- B. Ministry of Housing and Urban Affairs
- C. Ministry of Finance
- D. Ministry of Consumer Affairs

Solution: Ministry of Petroleum and Natural Gas. PAHAL (Pratyaksh Hanstantrit Labh) scheme – Another name of Direct benefit Transfer for LPG (DBTL). It was launched on June 1, 2013. The scheme aims to reduce diversion and eliminate duplicate or bogus LPG connections. This scheme is acknowledged as the world's largest cash transfer program (households) by the Guinness Book of World Records. Ministry of Petroleum and Natural Gas – Shri Hardeep Singh Puri (as of June 2023).

Q15. GDP calculated at some constant set of prices is called _____.

- A. real GDP**
- B. domestic GDP
- C. current GDP
- D. nominal GDP

Solution: Real GDP (Gross Domestic Product). It measures the quantities of goods produced in different years using the prices from the same base year to adjust inflation. India's base year is 2011–12. $\text{Real GDP} = (\text{Nominal GDP} / \text{GDP Deflator}) \times 100$. GDP deflator (implicit price deflator) is used to measure inflation. Nominal GDP calculated on current market price without considering inflation.

Q16. When the rate of interest is at its maximum, which of the following will follow?

- A. The demand for bonds will be at its minimum.
- B. The speculative demand for money will be zero.**
- C. The speculative demand for money will be at its maximum.
- D. The speculative demand for money will be equal to the supply of money.

Solution: Speculative demand for money: It is the demand for money as a 'store of wealth'. Wealth can be held (stored) in the form of landed property, bonds, money, bullion etc. Demand for money for a speculative motive becomes low at a high rate of interest and becomes high at a low rate of interest.

Q17. CBIC stands for _____.

- A. Central Bureau of Investigation and Committee
- B. Central Board on Issues Related to Caste
- C. Central Board of Information and Communication
- D. Central Board of Indirect Taxes and Customs**

Solution: Central Board of Indirect Taxes and Customs (erstwhile Central Board of Excise and Customs). It is one of the Boards constituted under the statute the Central Boards of Revenue Act, 1963 and is subordinate to the Department of Revenue under the Ministry of Finance. It deals with the tasks of formulation of policy concerning levy and collection of customs, central excise duties, Central Goods & Services Tax (CGST) and Integrated GST (IGST).

Q18. The Mahalanobis model was the basis for which Five-Year Plan?

- A. Fourth Five-Year Plan
- B. Second Five-Year Plan**

- C. Sixth Five-Year Plan
- D. First Five-Year Plan

Solution: Second Five-Year Plan (1956–61): Target Growth rate – 4.5%. Actual Growth rate – 4.3%. The Plan Focussed on rapid industrialization– heavy & basic industries. Advocated huge imports through foreign loans.

Q19. What challenge does foreign investment often face in India?

- A. Excessive foreign competition
- B. Inconsistent regulatory environment**
- C. Lack of skilled labour
- D. Lack of consumer base

Solution: Inconsistent regulatory environment can lead to difficulties in compliance and planning for investors, ultimately affecting their confidence and willingness to invest in the country. Foreign investment refers to when an investor from one country purchases ownership of an asset or business in another country.

Q20. Which of the following is the compelling factor that produced a very high repayment rate of 98% in the concept of lending to groups of poor women, initiated by Dr Yunus?

- A. Involvement of 'loan sharks'
- B. Removal of the defaulter from the group
- C. Joint liability putting social pressure to repay loans**
- D. Use of the services of aggressive loan recovery agents

Solution: Dr Yunus (The 2006 Nobel Peace Prize winner to create economic and social development from below and the Founder of Grameen Bank in Bangladesh). He Initiated the concept of lending to groups of poor women that is called microcredit. It is a type of financial service that provides small loans to entrepreneurs who cannot get loans from traditional banks.

Q21. Start Up India Scheme which aims at developing an ecosystem that promotes and nurtures entrepreneurship across the country was launched in _____.

- A. 2016**
- B. 2020
- C. 2012
- D. 2018

Solution: 2016. Start Up India Scheme launched by Arun Jaitley under the Ministry of Commerce and Industry. India Innovation Index 2021 (third edition) was released by NITI Aayog. Karnataka has topped again in the 'Major States' category, Manipur is leading the 'North East and Hill States' category and Chandigarh is the top performer in the 'Union Territories and City States' category.

Q22. Which of the following statements is correct?

- A. The five-year plan focuses mostly on private intervention in the economy.
- B. The five-year plan always focused on the growth of the tertiary sector.
- C. The five-year plan permits long-term intervention by the government in the economy.**
- D. A five-year plan always stresses market-oriented activities.

Solution: The Five Year Plans were formulated, implemented

and regulated by a body known as the Planning Commission. The National Development Council (NDC) was the final authority to approve Five Year Plans (FYPs). The Five-Year Plans in India were primarily focused on government intervention, not private intervention, although some plans did encourage private sector participation. It focused on the growth of all sectors depending on the needs of the economy. Five-Year Plans were not always focused on market-oriented activities.

Q23. A bank that has a paid-up capital of _____ and above qualifies for the schedule bank category as listed in the RBI Act 1934.

- A. Rs 1 lakh
- B. Rs 2 lakhs
- C. Rs 5 lakhs**
- D. Rs 4 lakhs

Solution: Rs 5 lakhs. The Reserve Bank of India, established (1 April 1935) by RBI Act 1934. It regulates all Indian banks. It is also known as the bank of banks. The objective of RBI is: To Set the matters of banknotes; To Set off the currency and credit system of the country; To maintain reserves for securing monetary stability in India. Important segments - repos, reserves, derivatives, money market instruments and securities as defined in section 45(u) of RBI act 1934.

Q24. Which among the following is the correct way to express change of inventories of a firm during a year?

- A. Change of inventories of a firm during a year (value added - intermediate goods used by the firm + sale of the firm during a year)
- B. Change of inventories of a firm during a year (value added + intermediate goods used by the firm + sale of the firm during a year)
- C. Change of inventories of a firm during a year (value added - intermediate goods used by the firm - sale of the firm during a year)
- D. Change of inventories of a firm during a year (value added + intermediate goods used by the firm - sale of the firm during a year)**

Solution: Change of inventories of a firm during a year (value added + intermediate goods used by the firm - sale of the firm during a year). The change in inventories taking place over a period of time is called flow variables. Addition to the stock of capital (like inventories) of a firm is known as investment.

Q25. In migration the factors which cause people to leave their place of residence or origin are called _____.

- A. Pull factors
- B. Regular factors
- C. Push factors**
- D. Irregular factors

Solution: Push factors. These are the factors that drive people away from their place of origin, such as war, political instability, or economic hardship. Pull factors are the factors that attract people to a new place, such as better economic opportunities, better education, or a more favorable climate.

Q26. What is the fiscal year period in India?

A. 1st April of a year to 31st March of the next upcoming year

- B. 1st April to 31st December of the same year
- C. 1st January to 31st December of the same year
- D. 1st January of a year to 31st December of the next upcoming year

Solution: 1st April of a year to 31st March of the next upcoming year. Financial Year - The year in which the income is earned. Assessment year - The year in which the income is assessed to tax and all taxes are paid and tax returns filed. Fiscal policy - The policy of the government that deals with changes in taxation and expenditure and their components. Objectives of fiscal policy - To Reduce Inequality, to Provide Employment Opportunities, to Promote Economic Growth, to Ensure Stability In Prices, To Correct Balance Of Payments Deficit.

Q27. In which city was the SEWA Cooperative Bank first initiated in 1974?

- A. Jaipur
- B. Lucknow
- C. Ahmedabad**
- D. Bhopal

Solution: 12. (c) Ahmedabad. SEWA (Self Employed Women's Association): It is a low-income, self-employed women's trade union registered under the initiative of Ela Bhatt. It is registered under 1926 Act of Indian Trade Unions. Co-operative banks in India are registered under the Co-operative Societies Act. They are also regulated by the RBI and governed by Banking Regulations Act, 1949 and Banking Laws (Co-operative Societies) Act, 1955.

Q28. Law of Demand states that, there is a negative relationship between _____.

- A. demand for a commodity and its supply
- B. demand for a commodity and its price**
- C. tax on a commodity and its price
- D. supply of a commodity and its price

Solution: demand for a commodity and its price. The law of demand is an economic principle that explains the negative correlation between the price of a good or service and its demand. The Law of Demand states the inverse or indirect relation between price and quantity demanded while keeping the other factors constant.

Q29. A type of loan that allows borrowers to make low payments in the initial phases but repayment of the balance amount in lump sum at maturity is known as _____.

- A. Balloon Mortgage**
- B. English Mortgage
- C. Income - Sensitive Payment
- D. Payday Loans

Solution: Balloon mortgage. Types of mortgage: Simple Mortgage, Mortgage by Conditional Sale, English Mortgage, Fixed-Rate Mortgage, Usufructuary Mortgage, Anomalous Mortgage, Reverse Mortgage, Equitable Mortgage. The Income-Sensitive Repayment Plan is available to low-income borrowers who have Federal Family Education Loan (FFEL) Program loans. A payday loan is a type of short-term borrowing where a lender will extend high-interest credit based on income.

Q30. If the value of gross fiscal deficit will be more than net interest liabilities, the value of gross primary deficit will be_____.

A. Positive

- B. Zero
- C. Infinity
- D. Negative

Solution: Positive. Gross primary Deficit = Gross fiscal Deficit - Net interest liabilities. Deficit - The amount by which the spending done in a budget surpasses the earnings. Types of Deficit: Revenue Deficit - It refers to the surplus of the government's revenue expenditure over the revenue receipts. Fiscal Deficit - It is the excess of budget expenditure over budget receipts other than borrowings. Primary Deficit - It is calculated in order to obtain an estimate of the amount of borrowing that will be required due to current expenditures exceeding revenues.

Q31. Under the Atal Pension Yojana, the pension returns are given after the subscriber turns_____.

A. 60

- B. 55
- C. 50
- D. 65

Solution: 60. The Atal Pension Yojana (APY) was launched on 09 May 2015. In this Scheme, pensioners would receive the guaranteed minimum monthly pension of Rs 1000 and maximum Rs 5000 at the age of 60 years. The age of the subscriber should be between 18 - 40 years.

Q32. Identify the correct statement/s regarding budgetary deficit? i. Deficit acts as a flow that adds to the stock of the debt. ii. Deficit acts as stock, which is independent of debt. iii. Deficit acts as a burden on the future generation.

- A. Only ii
- B. Only i and ii
- C. Only i

D. Only i and iii

Solution: Only i and iii. Budgetary Deficit : A situation when the government's income and tax receipts fail to cover its expenditures. Deficits add to the national debt or federal government debt. Stock : Any quantity that is measured at a particular point in time. Flow : The quantity that can be measured over a period of time.

Q33. Identify the true statement.

- A. If real GDP is 240 and price index is 120, nominal GDP is 200.
- B. If real GDP is 500 and price index is 200, nominal GDP is 250.
- C. If real GDP is 500 and price index is 200, nominal GDP is 700.
- D. If real GDP is 240 and price index is 120, nominal GDP is 288.**

Solution: 14. (d) Real GDP (Gross Domestic Product) is an inflation-adjusted measure that reflects the value of all goods and services produced by an economy in a given year. Nominal GDP - It is given in current prices, without adjustment for inflation. $\text{Nominal GDP} = \text{Real GDP} \times \text{Price Index} / 100 = 240 \times 120 / 100 = 288.$

Q34. Which of the following is NOT correct with regards to the history of calculating National Income (NI) in India?

A. First attempt to compute NI was made by Dadabhai Naoroji.

B. First official attempt to compute NI was made by PC Mahalanobis.

C. Dadabhai Naoroji divided the Indian economy into two parts: primary sector and secondary sector.

D. First scientific method to compute NI was used by Dr VKRV Rao.

Solution: Dr. VKRV Rao in 1931, divided the Indian economy into two sectors: the agricultural sector and the corporate sector. The agricultural sector encompassed fishing, hunting, forests, and agriculture, while the corporate sector included industries, business, transport, construction, and public services. National income represents the total value of all goods and services produced in a country during a specific period. In 1867, Dadabhai Naoroji, known as the Grand Old Man of India, proposed the drain theory, also referred to as the "drain of wealth" theory.

Q35. What is the meaning of reverse repo rate?

A. Rate at which RBI borrows money from foreign banks

B. Rate at which RBI borrows money from commercial banks

C. Rate at which commercial banks borrow money from RBI

D. Rate at which commercial banks borrow money from foreign banks

Solution: Rate at which RBI borrows money from commercial banks. Repo Rate: Rate at which commercial bank borrows money from RBI. Rate of interest for repo rates is always higher than that of reverse repo rates. Bank rate : The lending rate at which commercial banks borrow from RBI without any repurchasing agreement or securities.

Q36. Identify the different options from the following.

A. Intrinsic value

- B. Guarantee of issuing authority
- C. Fiat money
- D. Legal tender

Solution: Intrinsic value - The true value of the product regardless of market value. Guarantee of Issuing Institution: Provides the respective partner banks / banking networks with a global guarantee amount. The proposition of law - An obligatory decree, expressed as a powerholding order governing public relations. Prescribed currency - The system of money that is used in a particular country at a particular time.

Q37. Which of the following statements is true? A) Money Supply is a stock concept B) Currency and Coins with public are not included in M3 measure of money supply

A. Only A

- B. Neither A nor B
- C. Both A and B
- D. Only B

Solution: Only A. The money supply is the total value of money available in an economy at a point of time. Money supply is measured by the Reserve Bank of India by using Monetary Aggregate/Broad money. M3 includes Currency with the Public: Current Deposits, Savings Deposit, Certificates of Deposits and Term Deposits in Banks; Call/Term borrowings from 'Non-depository' financial corporations.

Q38. In which year was the Insurance Regulatory and Development Authority of India set up?

- A. 1999**
- B. 2011
- C. 1995
- D. 2002

Solution: 1999. The Insurance Regulatory and Development Authority (IRDA) of India is headquartered in Hyderabad, Telangana, where it moved from Delhi in 2001. At present (January, 2023), the authority is chaired by Mr. Debasish Panda. The Insurance Regulatory and Development Authority of India is a statutory body under the jurisdiction of the Ministry of Finance, Government of India and is tasked with regulating and licensing the insurance and re-insurance industries in India.

Q39. The dividends received by the Government from Public Sector Undertakings (PSUs) are _____.

- A. capital expenditure
- B. capital receipts
- C. non-tax revenue receipts**
- D. tax revenue receipts

Solution: Non-tax revenue receipts. Tax revenue receipts are collected by the government as a tax on the income, property, or activities of the people. Non-tax revenue receipts are not collected as a tax. They include receipts from dividends, profits, and other income from government enterprises. Capital receipts arising from financial (capital) activities and not from the operating activities of the business. Revenue receipts neither increase a government's liabilities nor decrease its assets.

Q40. The Government of India allowed automatic approval of _____% of FDI by Reserve Bank of India in nine categories of industries.

- A. Up to 51
- B. Up to 60
- C. Up to 41
- D. Up to 74**

Solution: Up to 74. Foreign Direct Investment (FDI) refers to an investment made by a company or individual in one country into business operations or assets in another country. The Foreign Investment Facilitation Portal (FIFP) provides single-window clearance for FDI applications under the approval route. It is managed by the Department for Promotion of Industry and Internal Trade (DPIIT), under the Ministry of Commerce and Industry. The two routes for Foreign Direct Investment (FDI) in India are the Automatic Route (Without government approval) and the Government Route (With prior approval of Government).

Q41. The plan that mainly aims to coordinate both private and public investment and output plans through targets is called _____.

- A. indicative planning**
- B. rolling plan
- C. decentralized planning
- D. centralized planning

Solution: Indicative planning: Adopted by Eighth Five Year Plan (1992 - 1997). The Rolling Plan (1978) was introduced by

the Janata Government, led by Morarji Desai. Decentralized planning (1985 - 86) - It was introduced in Haryana state to ensure and safeguard rapid sustainable development. Centralized planning - It is a project management method in which a central authority is responsible for deciding the project specifics (budget, scope, resources).

Q42. With regard to the Currency Deposit Ratio (CDR), all of the following is true, EXCEPT:

- A. It depends on seasonal pattern of expenditure.
- B. It is a behavioural parameter.
- C. During festive season the CDR typically declines.**
- D. It reflects people's preference for liquidity.

Solution: 13. (c) The currency Deposit Ratio (CDR) - The ratio of money held by the public in currency to that they hold in bank deposits. $CDR = CU/DD$. For example - CDR increases during the festive season as people convert deposits to cash balance for meeting extra expenditure during such periods. Factors affecting CDR - Interest rates, Inflation, Economics conditions, Banking regulations.

Q43. After which five year plan there was not much emphasis on the public sector?

- A. Seventh plan
- B. Ninth plan**
- C. Eighth plan
- D. Eleventh plan

Solution: Ninth Plan (1997 - 2002) : This Plan focussed on "Growth With Social Justice & Equality". Eight Five Year Plan (1992 - 97): Introduction of fiscal & economic reforms including liberalization under the Prime Minister ship of Shri P V Narasimha Rao. Eleventh Plan (2007 - 2012): Aimed "Towards Faster & More Inclusive Growth ". Seventh Plan (1985 - 90): Focus on "food, work & productivity". work & productivity".

Q44. Which of the following statements is correct regarding the production possibility frontier? I. It gives the combinations between two goods that can be produced when the resources of the economy are fully utilised . II. It illustrates the production possibilities of the economy.

- A. Only I
- B. Only II
- C. Both I and II**
- D. . Neither I nor II

Solution: Both I and II. The production possibility frontier (PPF) is a curve on a graph that illustrates the possible quantities that can be produced of two products if both depend upon the same finite resource for their manufacture.

Q45. What is the relationship between interest rate and demand for money?

- A. No relationship exists
- B. Inverse**
- C. Direct
- D. Proportionate

Solution: Inverse . Interest rate and demand for money have an inverse relationship, meaning that demand for money decreases as interest rates increase, and increases as interest rates decrease.

Q46. If assets of a bank are greater than liabilities, it will be recorded as:

- A. liabilities
- B. net worth**
- C. reserves
- D. assets

Solution: net worth. The amount by which the value of the assets exceed the liabilities is the net worth (equity) of the business. The net worth reflects the amount of ownership of the business by the owners. The formula for computing net worth is: Assets - Liabilities = Net Worth.

Q47. When was the Duty-Free Tariff Preference (DFTP) Scheme for Least Developed Countries (LDCs) announced by India?

- A. 2010
- B. 2009
- C. 2006
- D. 2008**

Solution: 2008 . Duty Free Tariff Preference (DFTP) scheme of 2008 : Prime Minister Manmohan Singh announced the DFTP scheme at the India-Africa Forum Summit on April 8, 2008. India became the first developing country to extend this facility to Least Developed Countries (LDCs). Objective : To grant tariff preferences on the exports of the Least Developed Countries on imports to India.

Q48. Which among the following is the oldest joint stock bank in India?

- A. Allahabad Bank**
- B. Bank of Baroda
- C. Yes Bank
- D. Punjab National Bank

Solution: Allahabad Bank (1865). The first variety of joint-stock banks was the Bank of Bombay, established in 1720 (Bombay). Bank of Baroda: Founded - 1908 (Vadodara , Gujrat), Founder - Sir Sayajirao Gaekwad III. Yes Bank: Founded - 2004 (Mumbai), Founder- Rana Kapoor, Ashok Kapo or. Punjab National Bank: Founded - 1884, Founder - Dyal Singh Majithia , Lala Rajpat Rai.

Q49. Which of the following goods needs further transformation in the economic process?

- A. Consumer durable goods
- B. Finished goods
- C. Intermediate goods**
- D. Capital goods

Solution: Intermediate goods : The raw materials that a firm buys from another firm which are completely used up in the process of production. Consumer durable goods can be used repeatedly and have a long life. An item that is meant for final use and will not pass through any more stages of production or transformations is called a final good. The capital goods add to, or maintain, the capital stock of an economy and thus make production of other commodities possible.

Q50. Goods which are of durable character which are used in the production process are called _____.

- A. capital goods**
- B. veblen goods

- C. consumption goods
- D. complementary goods

Solution: Capital goods. These are used to produce other goods and services. Examples - machinery, equipment, and building s. Consumption goods - These goods are used by consumers for their own personal use. Example - shirt, bread, butter. Veblen goods - Goods that are considered to be status symbols. Example - Designer jewelry, watches, yachts. Complementary goods - Goods that are used together. Example - Tennis Balls and Racket.

Q51. Which of these is one of the functions of the Government budget ?

- A. Management of money supply
- B. Maintaining strict budgetary balance
- C. Redistribution of income and wealth**
- D. Price fixation

Solution: Redistribution of income and wealth . Article 112 - deals with the Annual financial statement (Union Budget). Functions : Redistribution of resources. Ensuring fair distribution of income. Stabilizing the economy during recession or inflation. Employment opportunities. Management of public enterprises.

Q52. According to David Ricardo, during a high deficit situation taxation and borrowings are _____ means of spending.

- A. prudent
- B. differentiated
- C. equivalent**
- D. subsidised

Solution: Equivalent. Ricardian equivalence is an economic theory that says that financing government spending out of current taxes or future taxes (and current deficits) will have equivalent effects on the overall economy. He developed the comparative advantage theory, Labor theory of value and theory of rents. Books of David Ricardo - "On the Principles of Political Economy and Taxation", "Economic Essays", "The High Price of Bullion".

Q53. Under which type of unemployment a person contributes less than their capability?

- A. Frictional unemployment
- B. Disguised unemployment**
- C. Compulsory unemployment
- D. Cyclical unemployment

Solution: Disguised unemployment. Types of unemployment: Frictional unemployment - It arises when workers either search for new jobs or switch from one job to another. Seasonal unemployment - People do not have work during a particular time of the year. Cyclic unemployment : It arises due to the market fluctuations like lockdowns, recessions, decline in economic growth etc. Structural Unemployment - It happens due to the mismatch between the skills of workers and jobs available in the market.

Q54. The CSO adopted the concept of Gross Value Added in _____.

- A. January 2012
- B. January 2015**

- C. January 2017
- D. January 2013

Solution: January 2015. Central Statistics Office (CSO) : The CSO is a government agency under the Ministry of Statistics and Programme Implementation. It coordinates statistical activities in India and maintains statistical standards. Gross Value Added (GVA) : GVA is a productivity metric that measures the contribution of a corporate subsidiary, company, sector, or region to the economy.

Q55. In the estimation of national income, which of the following items will be subtracted from NNP at market price?

- A. Depreciation
- B. Net product taxes and net production taxes
- C. Net indirect taxes**
- D. Depreciation and net product taxes

Solution: Net indirect taxes: Refers to the difference between indirect taxes and subsidies. NNP (Net national product) – It is the total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation. National income (Net National Product at factor cost) – The total value of all the final services and goods produced in an economy during a specific period of time. Economic depreciation – It is a measure of the decrease in the market value of an asset over time from influential economic factors.

Q56. At the time of Independence of India, the Industrial sector was confined to _____.

- A. jute and fertilizers
- B. sugar and oil
- C. cotton textiles and jute**
- D. cotton textiles and fertilizers

Solution: Cotton textile and jute. First cotton mill in India – Established in 1818 at Fort Gloster near Kolkata. Second cotton mill in India – Established by Cowasjee Nanabhai Davar in 1854 and was named Bombay Spinning and Weaving Company. Ahmedabad is also referred to as the 'Manchester of India'.

Q57. If we sum the gross value added of all the firms of the economy in a year, we get a measure of the value of the aggregate amount of goods and services produced by the economy in a year. Such an estimate is called _____.

- A. Net national product
- B. National income at factor price
- C. Net value added
- D. Gross domestic product**

Solution: Gross domestic product (GDP). $GDP = C + I + G + (X - M)$ (C = Consumption, I = Investment, G = Government expenditure and $(X - M)$ = Export minus import). Net national product value obtained by deduction of depreciation from GNP. NNP at factor cost (National Income) – Net values of goods and services contributed by all producers in the local territory of the country plus net factor income from outside. Net value added – Deduct the depreciation value from gross value added.

Q58. NDP at FC plus net factor income from abroad is equal to _____.

- A. NNP at MP
- B. NNP at FC**
- C. GDP at FC
- D. GNP at MP

Solution: NNP at FC. Net Domestic Product (NDP) at factor cost (FC) is the income earned by the factors in the form of wages, profits, rent, interest, etc., within the domestic territory of a country. $NDP \text{ at FC} = NDP \text{ at Market Price} - \text{Indirect Taxes} + \text{Subsidies}$. Net National Product (NNP) at market price – Net factor income from overseas = Net domestic product at market price. Gross domestic product (GDP) at factor cost is GDP at market prices minus net indirect taxes. Gross National Product (GNP) at market price is the market value of all final goods and services produced in a country's domestic territory by ordinary citizens during an accounting year, including net factor income from abroad.

Q59. Considering the five-year plans of India, which of the following is correct matched? I. Rolling Plan – Introduced before Sixth Five-Year Plan II. Mahalanobis Plan – Second Five-Year Plan

- A. Only I
- B. Both I and II**
- C. Only II
- D. Neither I nor II

Solution: Both I and II. The Rolling Plan (1978–1980, (period of instability)) was introduced by Morarji Desai (Janta Party). The Second Five Year Plan was based on the P.C. Mahalanobis Model. The main objective of this plan was to bring about rapid industrialization with special emphasis on the development of basic and heavy industries.

Q60. It is possible to derive the value of GDP of a country. Which function of money is applicable here?

- A. Store of value
- B. Unit of account**
- C. Standard of deferred payments
- D. Medium of exchange

Solution: Unit of account. Money: A medium of exchange that is centralized, generally accepted, recognized, and facilitates transactions of goods and services. Functions of Money: Medium of exchange: Money is the generally accepted medium of exchange that is used to make all the transactions. Example – payments of goods, payment of tax. Standard of deferred payments : Money is considered the standard for future payments. Ex- The payment of the electricity bill on the upcoming due date. Store of value: It means that money is capable of being stored and transferring the purchasing power from today to the future. Example: Using the money in a savings account to buy new furniture.

Q61. Which of the following statements is correct regarding the direct taxes? I. Levied on taxable income earned by individuals and corporate entities. II. Gift tax is a type of direct tax.

- A. Only I
- B. Neither I nor II
- C. Both I and II**
- D. Only II

Solution: Both I and II. Direct Taxes are imposed on income and profits. Examples – Income tax, corporation tax, property tax, inheritance tax. Indirect taxes are levied on goods and services. Examples – Service tax, Central excise and customs duty and value added tax (VAT).

Q62. Gross primary deficit is equal to _____.

A. difference between gross fiscal deficit and interest payments

- B. difference between total expenditure and total receipts
- C. difference between net borrowings and net capital receipts
- D. difference between revenue deficit and capital expenditure

Solution: Gross Primary Deficit is Gross Fiscal Deficit less interest payments. Fiscal deficit is the difference between the government's total expenditure and its total receipts excluding borrowing. Effective Revenue Deficit: Revenue deficit as reduced by grants for the creation of capital assets.

Q63. Proportional taxes would help to reduce the autonomous expenditure multiplier because _____.

- A. taxes increase the MPC
- B. MPC does not have any role in it
- C. taxes and MPC become equal
- D. taxes reduce the MPC**

Solution: Taxes reduce the MPC. MPC (marginal propensity to consume) – The proportion of any additional income that is spent. MPS (marginal propensity to save) – The proportion of any additional income that is saved. The sum of MPC and MPS is equal to unity ($MPC + MPS = 1$). Expenditure multiplier (spending multiplier) – It shows what impact a change in autonomous spending will have on total spending and aggregate demand in the economy.

Q64. Identify the correct statement/s with respect to NABARD's E-Shakti project. i. The project aimed to digitise the financial and non-financial data of all the SHGs. ii. The project aimed to bring awareness about Digital India among the farmers. iii. This project was launched by NABARD in March 2015.

- A. Only ii
- B. Only i and iii**
- C. Only i and ii
- D. Only ii and iii

Solution: Only i and iii. NABARD (National Bank for Agriculture and Rural Development) – It is a statutory body established in 1982 under the Parliamentary Act – National Bank for Agriculture and Rural Development Act, 1981. E-Shakti – It was initiated to address certain concerns like improving the quality of bookkeeping of SHGs (self help group) and to enable banks to take informed credit decisions about the group through a Management Information System (MIS).

Q65. Who was professor Prasanta Chandra Mahalanobis?

- A. Economist who won a Nobel Prize
- B. An artist who painted the painting of Bharat Mata
- C. Indian Scientist and Statistician**
- D. A doctor who invented a new surgical method

Solution: Indian Scientist and Statistician. Prasanta Chandra Mahalanobis – The father of Indian Statistics. The Second Five

Year Plan (1956–61) emphasized rapid industrialization and the public sector. He founded Indian Statistical Institute in Kolkata on 17th December, 1931.

Q66. Which of the given statements is/are correct with respect to NAFED? i. NAFED is registered under the Multi-State Co-operative Societies Act. ii. It was set up with the objective of promoting Cooperative marketing of agricultural produce to benefit farmers. iii. It was established in 1956.

- A. i, ii and iii
- B. Only ii
- C. Only ii and iii
- D. Only i and ii**

Solution: NAFED (National Agricultural Cooperative Marketing Federation of India): Founded – 2 October 1958 and registered under Multi-State Co-operative Societies Act 2002, Headquarters – New Delhi. Objective – To organize, promote and develop marketing, processing, and storage of agricultural, horticultural and forest produce. Agricultural farmers are the main members of Nafed, who have the authority to say in the form of members of the General Body in the working of Nafed.

Q67. In which year did RBI accord approval to Equitas Holdings to launch a small finance bank?

- A. 2019
- B. 2012
- C. 2016**
- D. 2009

Solution: 2016. Reserve Bank of India (RBI) – India's central bank and regulatory body responsible for regulation of the Indian banking system. Established – 1 April 1935; Headquarters – Mumbai (Maharashtra); Function – To operate the currency and credit system in India. First Governor – Osborne Smith.

Q68. _____ is an industry association and self-regulatory organisation (SRO) whose primary objective is to work towards the robust development of the microfinance sector.

- A. Self-help Group Association
- B. Microfinance Institutions Network**
- C. Microfinance and Investments Regulatory Authority
- D. NABARD

Solution: Microfinance Institutions Network (MFIN) was established in 2009. A microfinance institution is a provider of credit. However, the size of the loans are smaller than those granted by traditional banks. Reserve Bank of India (RBI) oversees microfinance institutions in India. MFIN examples Equitas Small Finance, ESAF Microfinance and Investments (P) Ltd, Fusion Microfinance Pvt Ltd, Annapurna Microfinance Pvt Ltd, BSS Microfinance Limited, Asirvad Microfinance Limited, Cashpor Micro Credit, Bandhan Financial Services Limited.

Q69. Gross Domestic Product less Depreciation is _____.

- A. Gross Domestic Investment
- B. Net National Product
- C. Gross National Product
- D. Net Domestic Product**

Solution: Net Domestic Product. Gross Domestic Product (GDP) : The final value of the goods and services produced within the geographic boundaries of a country during a specified period of time. Gross National Product (GNP) – The total value of all finished goods and services produced by a country's citizens in a given financial year. Net national product (NNP) – It is the total value of finished goods and services produced by a country's citizens overseas and domestically, calculated by subtracting depreciation from GNP.

Q70. Which of the following is an objective of the Government Budget? A) GDP Growth B) Reallocation of Resources C) Balanced Regional Growth

- A. Only A
- B. All – A, B and C**
- C. Only A and C
- D. Only B

Solution: All – A, B and C. Government budget : Country's document or yearly financial statement that shows estimated revenue and expenditure of every item during the course of that year. It is mentioned in Article 112 of the Indian Constitution. Three types of Budget : Balanced Budget (Revenue = Expenditure), Surplus Budget (Revenue > Expenditure) and Deficit Budget (Revenue < Expenditure).

Q71. Choose the correct option in the context of given sentences. Assertion : Self-help groups (SHGs) have emerged as an effective model for microfinance in India. Reason : SHGs are able to pool resources and negotiate better loan terms with microfinance institutions.

- A. Both assertion and reason are true, and the reason is the correct explanation of the assertion.**
- B. Both assertion and reason are false.
- C. Both assertion and reason are true, but the reason is NOT the correct explanation of the assertion.
- D. The assertion is true, but the reason is false.

Solution: Self Help Groups (SHGs) : Objective – To provide thrift, credit and other financial services to the poor in all areas enabling them to raise their income levels and standard of living. First SHG – Self-Employed Women's Association (SEWA) in 1972.

Q72. The global financial crises overlapped which five year plan in India?

- A. Ninth Five year Plan
- B. Tenth Five year Plan
- C. Twelfth Five year Plan
- D. Eleventh Five year Plan**

Solution: Eleventh Five Year Plan (2007-2012) – Under the leadership of Manmohan Singh. Its main theme was "rapid

and more inclusive growth". Tenth Five Year Plan (2002 to 2007) – Under the leadership of Atal Bihari Vajpayee and Manmohan Singh. This plan aimed to double the Per Capita Income of India in the next 10 years. Ninth Five Year Plan (1997 to 2002): Under the leadership of Atal Bihari Vajpayee. The main focus of this plan was "Growth with Social Justice and Equality".

Q73. Which Five-Year Plan primarily focused on the 'Garibi Hatao' initiative?

- A. Sixth Five-Year Plan
- B. Fourth Five-Year Plan
- C. Fifth Five-Year Plan**
- D. Third Five-Year Plan

Solution: Fifth Five-Year Plan. "Garibi Hatao" was a slogan coined by Indira Gandhi, aimed at poverty alleviation and job creation for a better life. The 5th Five Year Plan (1974-1979) had a targeted growth rate of 4.4% and achieved 4.8%. It was terminated a year early, in March 1978. The plan's final draft, prepared by D.P. Dhar, focused on eliminating poverty and achieving self-reliance.

Q74. Macroeconomics deals with which of the following studies? I. Reasons behind the unemployment of resources II. Determination of total output

- A. Only I
- B. Only II
- C. Neither I nor II
- D. Both I and II**

Solution: Both I and II. Macroeconomics is that part of economics which deals with the individual units of the economy. It takes into account the demand and supply of individual units, which deals with the economic issues that take place on a large scale. It takes into account aggregate demand and aggregate supply.

Q75. _____ unemployment refers to the lowest unemployment level a healthy economy can sustain without causing inflation.

- A. Structural
- B. Disguised
- C. Natural**
- D. Frictional

Solution: Natural. Disguised Unemployment is a kind of unemployment in which there are people who are visibly employed but are actually unemployed. Frictional unemployment is the result of voluntary employment transitions within an economy. Structural unemployment is defined as unemployment caused by a mismatch between jobs and skills, or other long-term changes in the economy.